Man fills the niche nature allows him. He probably lived on the African savannah for many thousands of years with no progress or growth of any kind. Then, the discovery of fire allowed him to extend his range. We imagine that there followed a "growth spurt" that brought him into the colder regions of Europe and Asia. He then discovered the bow and arrow, further increasing his available food supply and extending the range that nature permitted him. So, too, did the domestication of animals and the development of sedentary agriculture allow him to put more food on the table with less exertion, thereby permitting another growth spurt.

But once the new, wider niche was filled out, his progress and population growth leveled out and once again became stagnant. So we have to wonder: Is the developed world at the end of its growth spurt?

In Europe, the United States, and Japan, the use of fossil fuels has leveled off. The number of miles driven in the United States—which rose steadily from the day Henry Ford built the first affordable "Tin Lizzie"—has begun to decline. So has economic growth. So has the use of energy. In fact, the beginning of the decline, or perhaps the "topping out" process, appears to have begun in the 1970s.

Why the 1970s? We can only guess. Most of the tools and machines we take for granted today were invented in the 1920s, 1930s, and 1940s. After World War II, they were put into service in all the developed countries.

Growth was fast—and real—in the 30 "glorious" years following the end of the war. By the 1980s, most of the big gains had already been captured.

Thereafter, the rate of return on an incremental unit of energy went down. We could still buy new machines, but they produced only marginal improvements in output. After 1970 . . .

- Gross energy use per person peaked out (in the developed world).
- The rate of return on an incremental unit of debt went down.
- Rebounds from recessions grew progressively weaker; they were driven by making credit cheaper.
- Real hourly wages peaked in the United States.

In a nutshell, after the 1970s, people stopped using more and more energy. They also stopped getting richer. Then, both the United States and Europe turned to debt. The United States cut the link to gold, making it easier to borrow. American households borrowed to continue increasing